US Economic Outlook June 2025

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Bracing for a summer slowdown

US outlook

- The US economy is poised for a summer slowdown. Economic activity was artificially boosted early in 2025 as businesses and consumers rushed to front-load purchases ahead of anticipated trade restrictions. While the sharp reversal in imports will provide a mechanical lift to Q2 GDP growth, this earlier pull-forward sets the stage for a pronounced demand cliff in the second half of the year. Both consumer spending and business investment are expected to decelerate significantly.
- In the months ahead, the ripple effects of higher tariffs will become more apparent — stoking inflationary pressures, weakening labor market conditions, compressing profit margins, restraining capital expenditures and curbing household demand. Together, these headwinds are likely to slow GDP growth to near stall speed, with output rising just 0.8% year over year (y/y) by Q4 2025.
- A potential extension of the expiring provisions under the Tax Cuts and Jobs Act (TCJA) could help stave off a deeper fiscal contraction, but any stimulus from the "One Big Beautiful Bill" is likely to be modest, skewed toward higher-income households and delayed until 2026. At the same time, offsetting spending cuts — particularly to social benefits — would weigh disproportionately on lower-income households. The fiscal cost of such a package could also exacerbate debt sustainability concerns, putting upward pressure on interest rates and crowding out private investment.
- We anticipate real GDP growth will decelerate from 2.8% in 2024 to 1.5% in 2025 and 1.3% in 2026. While the probability of a recession over the next 12 months currently stands at 35%, the risks to the outlook remain skewed to the downside.

Cooling labor demand and supply

- Labor market momentum continued to soften in May as trade and immigration policy uncertainty exerted increasing pressure on employment and labor force dynamics. The economy added 139,000 jobs during the month, but a notable decline in labor force participation helped hold the unemployment rate steady at 4.2%. With policy turbulence unlikely to dissipate in the near term, we expect labor market weakening to become more pronounced in the months ahead. While a broad wave of layoffs remains unlikely, rising cost burdens from newly implemented tariffs are expected to weigh on hiring and wage decisions. Businesses already contending with higher input costs are likely to slow workforce expansion, further reinforcing a subdued job creation environment. We project monthly job gains to slow to an average of just 25,000 in the second half of 2025 — down sharply from 105,000 in the first half — and the unemployment rate to drift higher, reaching approximately 4.8% by year-end.

- A looming demand slowdown: Retail sales disappointed in May, declining by 0.9% as consumer demand continued to ease following a wave of front-loaded purchases ahead of tariff implementations. While spending has remained relatively resilient — underpinned by solid income gains — early signs of fatigue are becoming increasingly evident. The combination of a cooling labor market and the exhaustion of preemptive buying points to a looming inflection point. As the effects of tariffs filter through the economy, we expect consumer activity to slow in the second half of the year. We forecast real personal consumption expenditures to decelerate from 2.3% in 2024 to just 1.2% in 2025, before staging a modest recovery to 2.0% in 2026. Housing demand is also expected to remain constrained in a low-affordability environment.
- Tariff supply-shock to fuel inflation reacceleration: Prices remained on a solid disinflationary path ahead of the steep tariff increases. Consumer price inflation once again surprised to the downside in May, driven by moderating shelter costs, lower travel and leisure prices, declining energy prices, and subdued food and core goods inflation. Headline Consumer Price Index (CPI) inflation ticked up slightly to 2.4% y/y — following April's low, which was not seen since February 2021 — while core CPI held steady at 2.8% y/y, marking its softest reading since March 2021. Looking ahead, however, the inflation landscape is set to shift. With higher tariffs imposed on most major trading partners, we expect a renewed inflation impulse to emerge, with core personal consumption expenditures (PCE) inflation likely rising toward 3.1% by year-end.
- Fed on pause until September: The Federal Reserve kept the federal funds rate unchanged at 4.25%–4.50% for a fourth consecutive time at the June policy meeting. The unanimous policy decision, along with the policy statement, the dot plot of median rate expectations and Fed Chair Jerome Powell's press conference, reinforced the Fed's wait-and-see approach amid a cloudy economic outlook. With Fed policymakers unwilling to preempt the net effect of the administration's trade, tax, immigration and regulation policy changes on growth and inflation, we continue to anticipate the Fed will wait until September before proceeding with a 25-basis-points (bps) rate cut. We anticipate another rate cut in December and then a further 100bps of policy easing in 2026, as economic and labor market conditions deteriorate.

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